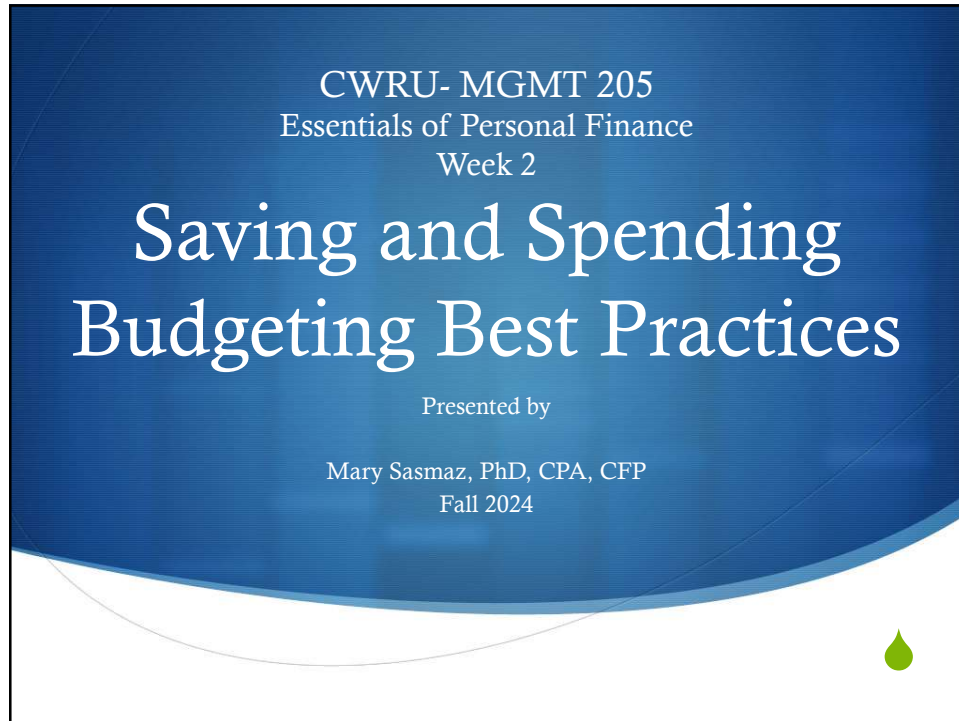
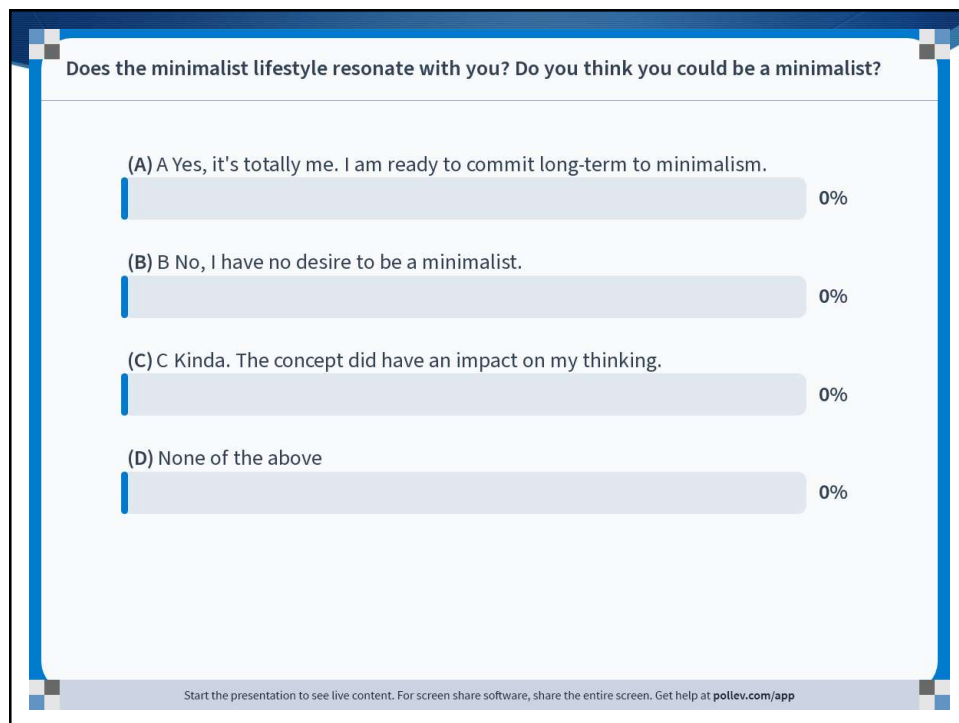




1



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Why Save?

3

Saving Habits - Americans

- ◆ 57% of Americans lack the savings to cover a \$1,000 emergency expense (such as car repair or medical expense) (Bankrate.com Emergency Savings Report, January 2023)
- ◆ 22% of Americans have no emergency savings. (Bankrate.com Survey, May 2023)
- ◆ What would they do in an emergency?
 - ◆ 12% - Cut Spending
 - ◆ 11% - Borrow from Family
 - ◆ 25% - Borrow on their Credit Cards
 - ◆ 4% - Take a personal loan



4

Saving Habits - Americans

- ◆ Federal Reserve Bank – 2022 report
 - ◆ 63% of Americans can cover an unexpected \$400 expense.
 - ◆ Only 54% of Americans had adequate emergency fund savings
- ◆ What would you do with an extra \$1,000?

5

With one word, state what you would do if you had an extra \$1,000?

Nobody has responded yet.

Hang tight! Responses are coming in.

Start the presentation to see live content. For screen share software, share the entire screen. Get help at pollev.com/app

6

Why do you NEED to save?

- ◆ Emergencies
 - ◆ Home repairs, car repairs, medical, lay-off or hours cut back, your kids get into trouble, etc.
- ◆ Planned Expenses
 - ◆ Replace car, home repair, medical, new home, wedding, college, vacation, etc.
- ◆ Retirement
 - ◆ Fund what social security and/or pension payments will not

7

What do we know about millionaire's savings and spending habits?

- ◆ Study: 1995 – 1996, 1,000 recipients, 249 questions
- ◆ Conclusions of the study
 - ◆ Building wealth DID **NOT** REQUIRE a top 10% income
 - ◆ Building wealth **DID** REQUIRE discipline, sacrifice, and time.

8

TMND: What we learned from the study

- Vast majority of millionaires are “first generation” rich.
 - High degree of self confidence
 - Do not believe that wealth is a “zero sum game”.
 - Do not rely on parents for financial assistance.
- Less than 50% received an inheritance
- Less than 25% received a gift of \$10,000 or more.
- Less than 10% believe they will receive an inheritance in the future.

9

TMND: What we learned from the study

Recent Immigrant Groups Have Higher Ratios of Millionaires

- Immigrants more likely to become entrepreneurs.
- Immigrants have stronger savings urge.

Typically, this Wealth Evaporates over the next Two Generations.

- The longer the family is in the U.S., the greater they will become consumers rather than savers.
- The First Generation wants to provide an easier life for their children.
 - Spend more time in school.
 - Seek to become professionals as opposed to entrepreneurs.
- Consequently, immigrants do not allow their children to learn the “hard lessons” that made the parents successful.

10

TMND: What we learned from the study

- ◆ The Biggest Obstacle to Saving
 - ◆ People judge others by how they look (beverages, clothes, watches, cars, homes, brand of phone, tv, etc.)
 - ◆ Consequently people will spend more and save less for social acceptance
 - ◆ It is much easier to LOOK wealthy than to BECOME wealthy.
- ◆ The Easiest Way to Gain Affluence.....Frugal, Frugal, Frugal
 - The large majority of Millionaires become millionaires after the age of 50.
 - THE LESSON: IT TAKES TIME AND DISCIPLINED SAVINGS TO BECOME AFFLUENT.
- ◆ You Become a Millionaire by OFFENSE or DEFENSE
 - The Hard Way to Affluence – Make More than Average (OFFENSE).
 - The Easy Way to Affluence – Spend Less than Average (DEFENSE).
- ◆ Most millionaires achieved affluence by Budgeting to Control spending

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Discussion: Creative Frugality

- ◆ Think about your current lifestyle as a student.
- ◆ What steps do you currently take to be frugal?
- ◆ What are creative ways you could reduce expenses and be more frugal?
- ◆ What frugal habits do you have now that you want/should carry into “adulthood”.

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Saving for Emergencies



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Emergency Fund How much? How?



- ◆ 3 to 6 months of living expenses
 - ◆ “Bronze” Level – 90 days worth of living expenses
 - ◆ “Silver” Level – 120 days worth of living expenses
 - ◆ “Gold” Level – 180 days worth of living expenses
- ◆ Build the Fund
 - ◆ Cut back discretionary spending (reduce spending by 10% and re-direct those funds to the emergency fund)
 - ◆ Wage Increases and Bonuses – contribute 75% until goal is met
 - ◆ Tax Refunds, Inheritances, Gifts

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Emergency Fund Where to put it?

- ◆ Purpose of this fund
 - ◆ It's your "Financial Airbag"
 - ◆ You need to be sure it "Opens" when needed
- ◆ Investment Choice
 - ◆ Risk Free & 100% liquid
- ◆ Investment/Savings Vehicle
 - ◆ Savings Account at Bank
 - ◆ Money Market Account at Bank

15

Saving for Planned Expenses



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Planned Expenses

- ◆ First Fund your Emergency Fund to 100% desired level
- ◆ Now direct a portion of savings to fund Planned expenses
 - ◆ Vacations, Home improvements, new home, car replacement
- ◆ Having this savings allows you to fund such expenses without having to borrow

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Planned Expense Savings Where to put it?

- ◆ Purpose of this fund
 - ◆ Fund anticipated expenses
 - ◆ Avoid borrowing for these expenses
- ◆ Investment Choice
 - ◆ Low Risk, Liquid (high degree)
- ◆ Investment / Savings Vehicle
 - ◆ Bank Certificate of Deposit (“CD”)
 - ◆ High-Yield Money Market Account (how soon you need it determines whether it makes sense to take on any investment risk.)
 - ◆ Short-term Investment Grade Bonds
 - ◆ Individual Bonds and/or Mutual Funds (maybe) or ETFs

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Saving for Retirement

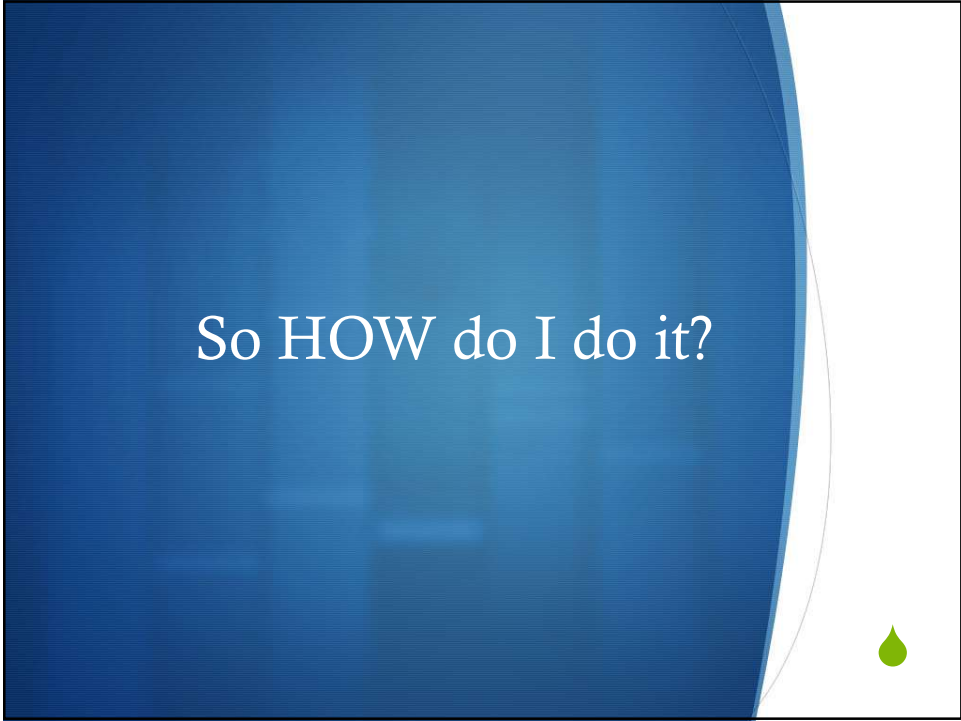


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Retirement How much should I save?

- 💧 IT DEPENDS!
- 💧 We'll discuss this more in Week 4.

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So HOW do I do it?

21



Create a Budget!!!

22

What is a budget?

- ◆ “...a plan for the coordination of resources and expenditures”
– Merriam-Webster Online Dictionary
- ◆ Simply:
 - ◆ A plan for managing your money in a way that best meets your personal needs, wants, and goals.

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Why use a budget?

- ◆ Identifies and defines your financial goals
- ◆ Tool to effectively manage your money
- ◆ Directs your cash flow
- ◆ Increase your savings
- ◆ Helps to avoid spending unnecessarily
- ◆ Map to achieving personal goals



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Creating a Budget

1. Set your financial goals
2. Track and summarize your current spending
3. Determine your after-tax income
4. Set budget for actual and unexpected expenses, considering financial goals
5. Review and evaluate monthly, adjust as needed

25

Set Financial Goals

- ◆ WRITE THEM DOWN!!! – most things don't happen without a plan
 - ◆ Short-term (within a year)
 - ◆ Mid-term (1 to 5 years)
 - ◆ Long term (5 years and beyond)
- ◆ Goals should be
 - ◆ Reasonable
 - ◆ Achievable
 - ◆ Practical
 - ◆ Adjusted as necessary
 - ◆ Celebrated when achieved!
- ◆ Have a designated budgeting notebook (or digital folder)



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Determine Current Spending

- ◆ Track your expenses for a couple of months to get a good idea of regular spending
 - ◆ Collect receipts in a shoe-box
 - ◆ Review credit card / debit card transactions
 - ◆ Make a list of your monthly expenses
- ◆ Consider one-time/annual expenses that may not have occurred during the time period analyzed
- ◆ Create a list of expenses on a monthly basis
 - ◆ Divide annual expenses by 12 to convert to monthly basis

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Determine After-tax Income

- ◆ Make a list of each income stream that you receive on a **regular** basis each month.
 - ◆ Net Paycheck + 403b/401k contributions + other deductions except taxes (SS, med, fed, state, local)
 - ◆ Side Income net of expenses and taxes
 - ◆ Also include supplemental income such as child support, disability, alimony, etc.



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Set Budget

- ◆ Using the list of monthly expenses, identify each as fixed or variable and as needs or wants
 - ◆ Fixed (consistent monthly)
 - ◆ Need - rent, car payment, mortgage
 - ◆ Want - subscriptions – tv, gym, etc
 - ◆ Variable (amount varies by month)
 - ◆ Need – groceries
 - ◆ Want – clothing, dining out, etc
- ◆ Set a budget using the 50/30/20 rule of thumb
 - ◆ Be sure to include a budget for unexpected expenses (emergency fund) – don't touch these funds for other reasons
 - ◆ Got debt? - Focus significantly on debt pay down

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Budgeting Rule of Thumb 50/30/20

Version 1	Version 2 (my suggestion)
50% Necessities	50% Necessities
20% Savings & Financial	30% Savings/Financial
30% Wants/Personal	20% Wants / Personal

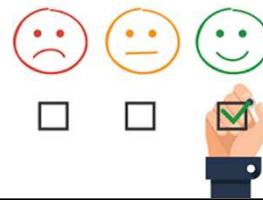
Amounts are % of After-tax Income.

May need to modify based on personal circumstances

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Review and Evaluate Periodically

- ◆ Compare spending to budget, more frequently at first.
- ◆ Review budget and financial goals
- ◆ Adjust as necessary
- ◆ Celebrate goals when they are achieved!



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Tips for Couples

- ◆ Set joint financial goals
- ◆ Set a “together budget”
 - ◆ Allow each person a discretionary fund (haircuts, clothing, day trips, etc. – without judgment)
- ◆ Meet monthly to discuss budget and allocation of funds
- ◆ Avoid financial infidelity – telling “little green lies” about one’s spending to the partner
- ◆ Celebrate achieved goals

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Money Management Tip

- ◆ Know your psychological relationship with money
 - ◆ Denial - psychologically minimize money problems so you avoid addressing financial matters
 - ◆ Guilt – feeling guilty for having money accrued/saved
 - ◆ Money-worshipping
 - ◆ Hoarding – stuff or money
 - ◆ Compulsive Buying
 - ◆ Childhood and other experiences influence our psychological relationship with money

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Tips for Saving

- ◆ Automate savings
 - ◆ Use employer-sponsored retirement plans
 - ◆ Automatic transfers between bank accounts after each pay
 - ◆ Auto deposit portion of paycheck funds to separate savings account
 - ◆ Savings Apps
- ◆ Put all savings toward a specific financial goal
- ◆ Make cutting expenses a game
 - ◆ Clean out the freezer month
 - ◆ One year no purchase challenge
 - ◆ Make certain months no spending months
- ◆ Check the internet – there are lots of money-saving techniques – implement what works for you.



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Even a small change in spending habits can make an impact

Example:

The "Latte Habit"

- One (1) Venti Latte x 365 days = 365 Venti Lattes
- \$4.00 per drink x 365 days = Annual Cost of Latte Habit = \$1,460
- Lifetime Nominal cost of Latte Habit = \$1,450 x 40 years = **\$58,400**
- What if You invested that Money in?
 - The S&P 500 Index (Average Annual Return of 7.5%) = **\$331,794.52**

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Other Financial Planning Rules of Thumb

- ◆ Transportation
 - ◆ Total transportation costs should be less than 10% of gross income
 - ◆ 20/4/10 (20% down, 4-year max on financing, 10% gross income)
 - ◆ Pay cash for your first car, set aside the monthly payment you would have had until you have enough for next purchase, repeat
 - ◆ Consider buying used vs., new. If buy new, hold it 10 years.
- ◆ Housing
 - ◆ Do not purchase home more than 2 to 3 times your annual income
 - ◆ Put at least 20% down
 - ◆ Take out 30-year mortgage but don't take 30 years to pay it off
 - ◆ Keep housing expenses (PITI) at less than 20% of monthly gross income. Housing + Utilities + Maintenance <30% of monthly gross income.

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Financial Planning Apps

but sometimes paper and pen is best!

- ◆ Mint / Credit Karma
- ◆ Digit – budgeting and saving
- ◆ Acorns – saving – rounds up spending to next dollar and invests difference
- ◆ RoboInvesting – Betterment, Wealthfront, Sofi



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#1 Rule

- ◆ You must live within your means.
 - ◆ If you wish to be wealthy,
 - ◆ you must live BELOW your means.



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Periodically Review Your Spending

- ◆ Review your subscriptions 2 to 3 times per year.
 - ◆ Know what you have subscribed to
 - ◆ Determine if you need it / still need it

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Recommendations

- ◆ Work toward saving 20 to 30% of income overall.
 - ◆ 12 to 15% toward retirement savings (depending on retirement goals)
 - ◆ Remainder toward emergency, planned, and other expenses.
- ◆ Start now!
 - ◆ Save any amount
 - ◆ Then increase from there
- ◆ Recognize psychological side of money
 - ◆ Try to avoid present bias (the desire for things now versus payoff in the future).

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Reading Recommendations

- ◆ “The Millionaire Next Door”
 - ◆ Thomas Stanley and Walter D. Danko, MJF Publishing
- ◆ “The Everything Personal Finance in your 20s and 30s Book, Third Edition: Eliminate your Debt, Manage your Money, and Build for an Exciting Financial Future (Everything Series).”
 - ◆ Howard Davidoff, Adams Media
- ◆ “The Money Book for the Young, Fabulous, & Broke” by Suze Orman.

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Thoughts / Questions

Open for discussion!

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